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TENTATIVE RULING

August 13, 2026

23SMCV03790 (McKenzie v. Belzberg Architects, APC, et. al.)

RELEVANT BACKGROUND

On August 14, 2023, plaintiff Chris McKenzie (Plaintiff) filed his complaint against defendants Tatum Construction, Inc. (Tatum), Belzberg Architects, APC (Belzberg), and Does 1- 50, alleging general negligence and premises liability. Plaintiff filed his First Amended Complaint (FAC) on July 2, 2023. (UMF 1.) On May 3, 2024, Plaintiff filed an amendment to name California Access Scaffold, LLC (CAS) as a Doe defendant.

On October 11, 2023, Tatum filed a cross-complaint against Joes 1-25, asserting causes of action for equitable indemnity, partial indemnity, contribution, apportionment, and declaratory relief. Tatum amended its cross-complaint to include CAS as a Joe defendant on May 2, 2024. Tatum has alleged the following causes of action against CAS in its Cross-Complaint: (1) Equitable Indemnity, (2) Partial Indemnity, (3) Contribution, (4) Apportionment, and (5) Declaratory Relief. On August 5, 2024, CAS filed a cross-complaint against Tatum.

On June 25, 2026, Plaintiff’s request for dismissal of Belzberg was entered.

On July 10, CAS filed the instant motion for determination of good faith settlement between CAS and Plaintiff.

On July 15, 2026, the Court granted CAS's motion for summary judgment as to Tatum's Cross-Complaint.

INSTANT MOTION

On July 10, 2026, CAS filed the instant motion for determination of good faith settlement. Tatum filed an opposition, and CAS filed a reply.

DISCUSSION

I. APPLICATION FOR DETERMINATION OF GOOD FAITH SETTLEMENT

Code of Civil Procedure section 877 provides:

Where a release, dismissal with or without prejudice, or a covenant not to sue or not to enforce judgment is given in good faith before verdict or judgment to one or more of a number of tortfeasors claimed to be liable for the same tort, or to one or more other co-obligors mutually subject to contribution rights, it shall have the following effect:

(a) It shall not discharge any other such party from liability unless its terms so provide, but it shall reduce the claims against the others in the amount stipulated by the release, the dismissal or the covenant, or in the amount of the consideration paid for it, whichever is the greater.

(b) It shall discharge the party to whom it is given from all liability for any contribution to any other parties.

(c) This section shall not
apply to co-obligors who have expressly agreed in writing to an apportionment of liability for losses or claims among themselves.

(d) This section shall not
apply to a release, dismissal with or without prejudice, or a covenant

not to sue or not to enforce
judgment given to a co-obligor on an alleged contract debt where the contract was made prior to January 1, 1988.

(Code Civ.
Proc., § 877.)

Code of Civil Procedure section
877.6, subdivision (b) provides that, upon receiving an application for a determination of good faith settlement between the settling party and the plaintiff, a non-settling alleged joint tortfeasor defendant may file a motion to contest the good faith of the settlement. (Code Civ. Proc., § 877.6, subd. (b).)

“The ultimate determinant of good
faith is whether the settlement is grossly disproportionate to what a reasonable person at the time of settlement would estimate the settlor's liability to be.” (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1262.) “Equity is the aim of section 877.6…equitable sharing of costs among the parties at fault and encouragement of settlements.” (Long Beach Memorial Med. Center v. Superior Court (2009) 172 Cal.App.4th 865, 872.) A “settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be.” (Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499.)

In Tech–Bilt, the
California Supreme Court identified the following nonexclusive factors courts are to consider in determining if a settlement is in good faith
under section 877.6: “a rough approximation of plaintiffs' total recovery
and the settlor's proportionate liability, the amount paid in settlement,
the allocation of settlement proceeds among plaintiffs, and a recognition that
a settlor should pay less in settlement than he would if he were found liable

after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.” (Tech–Bilt, supra, 38 Cal.3d at p. 499.)

“[A] court not only looks at the alleged tortfeasor's potential liability to the plaintiff, but it must also consider the culpability of the tortfeasor vis-à-vis other parties alleged to be responsible for the same injury. Potential liability for indemnity to a nonsettling defendant is an important consideration for the trial court in determining whether to approve a settlement by an alleged tortfeasor.” (TSI Seismic Tenant Space, Inc. v. Superior Court (2007) 149 Cal.App.4th 159, 166, citing West v. Superior Court (1994) 27 Cal.App.4th 1625, 1636–1637.)

In TSI, the Court of Appeal found that it was an abuse of discretion for the trial court to consider only what the settling defendant would pay by virtue of the limitation of liability clause, without also considering its proportionate share of culpability, and its potential for liability to the other defendants for indemnity. (TSI, supra, 149 Cal.App.4th at 167.) “Without doing so, a court does not further the policy of ‘allocating costs equitably among multiple tortfeasors.’ [Citation.] Further, by determining such a settlement to be in good faith, without considering Geocon's proportionate share of liability to all parties, it is allowed to pay a relatively small amount, and at the same time obtain protection from claims for implied indemnity that may total several millions of dollars.” (Ibid., citing Tech–Bilt, supra, 38 Cal.3d at p. 502.)

In West, the Court of appeal reversed the determination of good faith settlement, reasoning that the trial court should have considered the culpability of the settling brokers and their potential liability for indemnity to the non-settling sellers because shielding the brokers with immunity from the cross-complaints of the sellers “neither serves the goal of encouraging settlement among all interested parties nor promotes the goal of equitable allocation among multiple tortfeasors.” (West, supra, 27 Cal.App.4th at 1636–1637.)

Here, the Settlement Agreement

("Agreement"), fully executed on July 7, 2026, provides that CAS, itself and by and through its insurance carriers, will pay to Plaintiff the total sum of fifteen thousand dollars ($15,000) in exchange for a dismissal with prejudice, an unconditional release of, and agreement not to assert, any and all claims against CAS, and a waiver of Civil Code § 1542. The Agreement is contingent on a determination of good faith under Code of Civil Procedure § 877.6, and it is confidential.

CAS moves for an order determining that the settlement by and between Plaintiff and CAS is in good faith, under Code of Civil Procedure §§ 877 and 877.6, and bars any claim by any other joint tortfeasor. CAS asserts that the settlement, without any admission of guilt or liability by CAS, was reached in this matter to avoid protracted litigation, policy exposures, and further attorneys' fees and costs.

In opposition, Tatum argues that CAS failed to provide a rough approximation sufficient to compare Plaintiff's potential recovery with CAS's asserted share. Tatum concedes that the summary judgment records and the Court's July 15, 2026, ruling on the motion for summary judgment "strongly bear on CAS's liability position." (Opp. at p. 7.) Tatum contends that they do not, however, provide the omitted rough approximation of Plaintiff's total recovery or explain the complete settlement valuation. Tatum also contends that any additional non-cash consideration has not been valued, and the remaining Tech-Bilt factors do not cure the evidentiary gap. Tatum asserts that the appropriate relief is denial without prejudice or a continuance so the Tech-Bilt factors can be fairly assessed.

In reply, CAS reiterates the arguments set forth in the moving papers and contends that the Court's ruling on July 15, 2026, granting CAS' Motion for Summary Judgment as to Tatum's Cross-Complaint has been granted, and dismissing Tatum's Cross-Complaint against CAS facilitates CAS' arguments against its liability and that other parties bear responsibility for any damages to which Plaintiff may be entitled.

The Court finds CAS's settlement with Plaintiff was made in good faith under the Tech-Bilt factors, as detailed below. The settlement amount ($15,000) is within the reasonable range of CAS's proportional share of liability for Plaintiff's potential recovery of damages, and there is no allocation that would serve to prevent the remaining defendant from receiving a favorable setoff. Also, the Court agrees with CAS that the

Court's July 15, 2026, granting CAS' Motion for Summary Judgment as to Tatum's Cross-Complaint supports CAS's arguments against its liability and that other parties bear responsibility for any damages to which Plaintiff may be entitled. The Court explicitly found that there was not triable issue of material fact that "the alleged dangerous condition at the Subject Premises was caused by CAS or that CAS's conduct was a substantial factor in causing Plaintiff's harm." The Court disagrees with Tatum's position that a continuance is necessary or that the Tech-Bilt factors cannot be properly assessed based on the evidence presented.

A.

Rough Approximation of Plaintiffs' Total Recovery and CAS's Proportionate Liability

Here, Plaintiff and CAS reached a total settlement amount of $15,000 to be paid by CAS. Plaintiff alleges that he suffered injuries to his head, neck and low back due to the Subject Incident. Plaintiff has not identified a loss of income/earning capacity claim. Thereby, he is claiming past/future medical expenses as well as general damages. On May 7, 2024, Plaintiff filed a Statement of Damages, identifying only $19,572.19 in past medical expenses among his special damage claims, along with general damages. (Ilter Decl. at 13; Ex. 2.) The parties conducted extensive discovery on Plaintiff's damage claims and received medical records from each medical provider of Plaintiff via document production and subpoenas. (Id. Ex. 3.) According to his medical billing records, Plaintiff's total amount of past medical expenses is approximately $22,997.19, mostly paid through insurance. (Id.) Plaintiff's last day of treatment due to the Subject Incident is reported as March 7, 2023. (Id.) Therefore, a $15,000.00 settlement amount falls within a reasonable range for settlement. Additionally, CAS agreed to this settlement based on its interest in resolving this action for an amount certain and in consideration of the remaining defendant, the stage of litigation, cost of defense, and Plaintiff's potential recovery, if any, as well as the relative scarcity of evidence against CAS. (Id. at 15.)

B.

Allocation of Settlement Proceeds Among Plaintiffs

As the only plaintiff in this action, the entire $15,000 settlement amount will be paid to Plaintiff, and thus there is no issue as to the allocation of settlement funds and whether it was not decided in good faith.

C.

Financial Conditions and Insurance Policy Limits of Settling Defendants

Here, there is no issue with respect to CAS's financial conditions and insurance policy limits to pay Plaintiff the consideration contemplated in the Agreement, and CAS will do so. (Itler Decl. at 16.) Also, CAS' insurance policy limits were disclosed in discovery. (Id. at 5.) At the time of the settlement agreement, the parties were (or reasonably should have been) aware of CAS's insurance policy limits. (Id.)

D.

Existence of Collusion, Fraud, or Tortious Conduct Aimed to Injure the Interests of Nonsettling Defendants

Here, the settlement was reached as a result of arms-length negotiations between the parties. No consideration was given to minimizing CAS's potential exposure at expense of the Non-Settling Defendant Tatum. (Ilter Decl. at 17.)

Based on the foregoing, CAS’s motion for determination of good faith settlement is GRANTED.